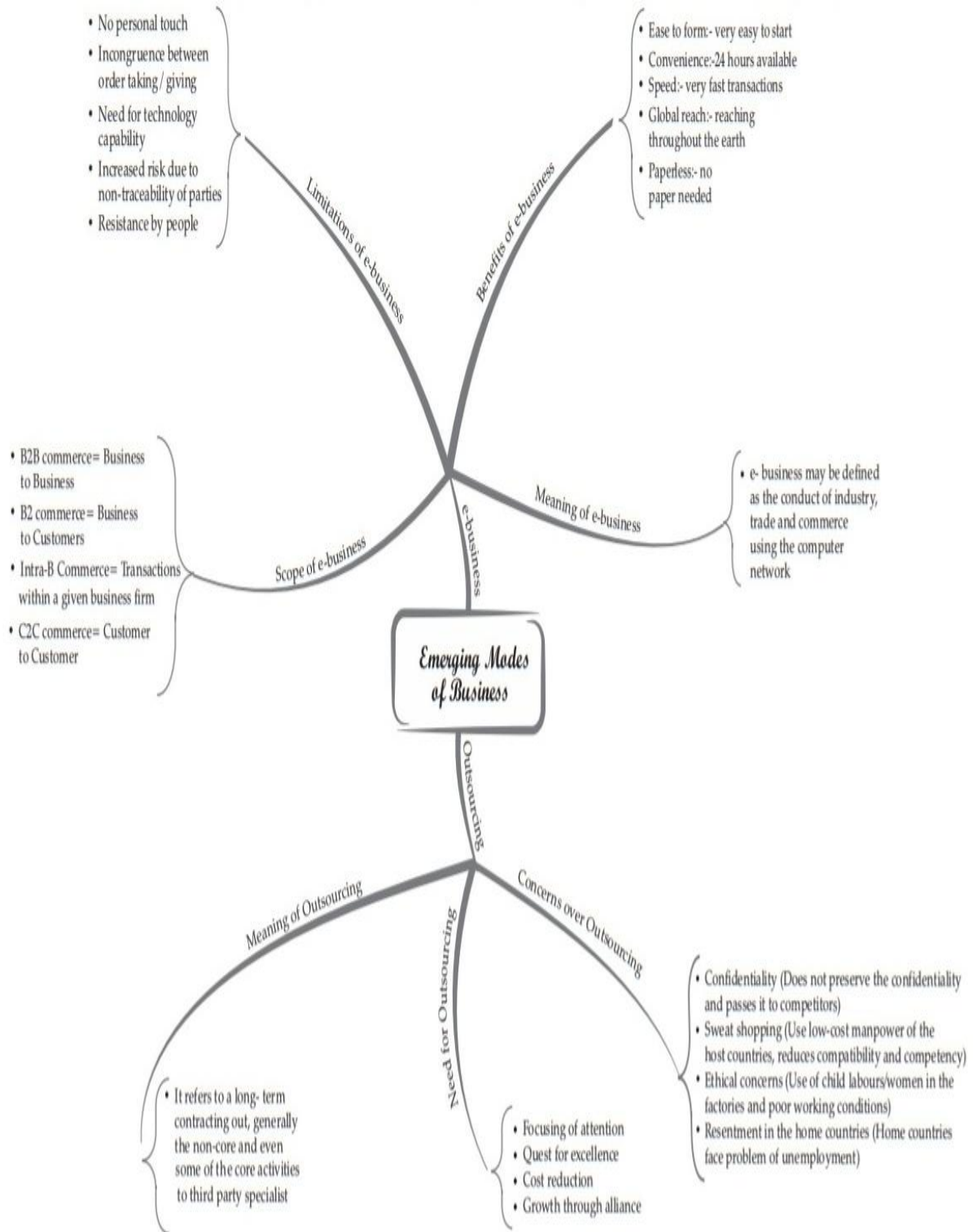


CH - 05: EMERGING MODES OF BUSINESS

(MIND MAP)



LEARNING OBJECTIVES:

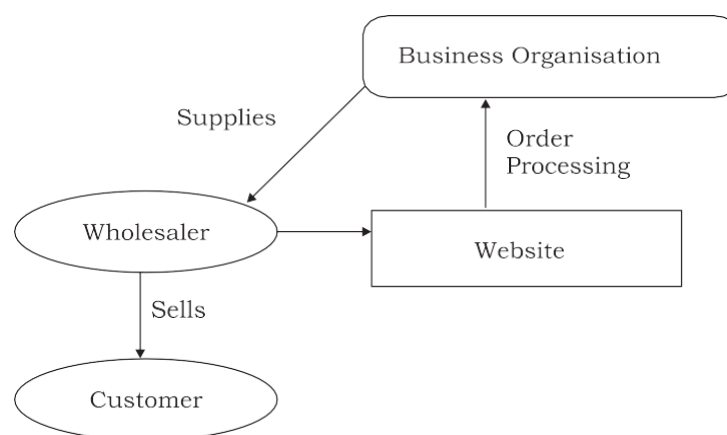
- *Meaning of e-business.*
- *Scope of e-business.*
- *Benefits of e business.*
- *Distinguish e-business and traditional business.*

Meaning of e-business: In this age of internet, the world commerce has gradually started linking with it. This has brought a new concept of commerce called e-commerce/e-business. Now we are capable of reaching the users of Internet all over the world simply by opening a shop on the Internet. The Internet users can order for the goods, receive their delivery and make their payment while sitting at their home on the Internet.

Scope of e-Business:

It can be understood by the view point of the parties involved and making transactions:

1. **B2B Commerce:** It is that business activity in which two firms or two business units make electronic transaction. For example- one can be producer firm and other a supplier firm.
2. **B2C Commerce:** Business to customer. In this one party is a firm and other party is a customer. On one hand a customer can seek information through Internet about products, place orders, get some items and make payments and on the other hand the firm can make a survey any time to know who is buying and can also know the satisfaction level of customers. In modern times, call centers can provide these information.
3. **C2C Commerce:** Customer to Customer Commerce – Under it, both the parties involved in electronic transaction are customers. It is required for the buying and selling of those goods for which there are no established markets. For example- selling old car through internet.
4. **Intra-B Commerce:** Within business Commerce – Under it, the parties involved in the electronic transaction are the two departments of same business. For Example, through internet it is possible for the marketing department to interact constantly with the production department and get the customized goods made as per the requirement of customers.



Business to Business e-Commerce (B2B)

Difference between e-Business and Traditional Business

Basis	e-Business	Traditional Business
1. Ease of formation	Simple	Difficult
2. Physical presence	Not required	Required
3. Cost of setting up	None	Yes, in terms of finding a location which is nearer to the source of raw materials or the market for the products.
4. Operating cost	Low as no requirement of physical facilities.	High, because various costs has to be incurred in terms of rent payment etc.
5. Nature of contact with the suppliers and the customers	Low as a result of reliance on a network of relationships rather than ownership of resources.	High due to fixed charges associated with investment in procurement and storage, production, marketing and distribution facilities
6. Nature of Internal communication	Direct	Indirect through intermediaries
7. Response time for meeting customers / Internal	Non-hierarchical. Allowing direct vertical, horizontal and diagnostic communication instantaneously.	Hierarchical From top level management to middle level management, and then to lower level management to operatives.
8. Shape of the Organisational Structure	Because of the directness of the order and communication, it is horizontal/ flat.	Vertical/ tall due to hierarchy or chain of command.
9. Business processes & Length of cycle	Simultaneous (concurrence) different processes take place at a time. Business process cycle is therefore shorter.	Sequential procedure i.e. Purchase-production/ operation – marketing - sales. The business processes cycle is therefore longer.
10. Opportunity for interpersonal touch	Less	More, because of higher personal contact.
11. Opportunity for physical pre- sampling of the products	Less. However, for digital products such an opportunity is tremendous. One can pre-sample books, journals etc.	More
12. Ease of going global	Much, as cyberspace is truly without boundaries.	Less, because a lot of legal formalities have to be done
13. Govt. Patronage	Much as IT sector is among the top most priorities of the government.	Shrinking with time.
14. Nature of human capital	Technically & professionally qualified personnel needed.	Semi-skilled & even semi-skilled manpower needed.
15. Transaction risk	High due to the distance & anonymity of the parties.	Low due to arm's length transaction and face to face contact.

Opportunities/ Benefits of e-Business

1. Easy to set up:

If we have the necessary software, a device, and access to the internet, we can start an online business from the comfort of our own homes.

2. Cheaper than traditional business:

The cost taken to set up any business is cheaper. In addition, the transaction costs are effectively lower.

3. No geographical boundaries:

Anyone from anywhere can order anything at any time. On the one hand it allows the seller and access to the global market, on the other hand It offers the buyer freedom to choose products from almost any part of the world.

4. Flexible business hours:

The internet is available at all times. The time barrier that location-based firms face is broken by e-business.

5. Speed and efficiency:

Online ordering systems scans process payment & orders in real-time, usually faster, more accurately & cheaper than human workers.

6. Movement towards up paperless society:

Use of the internet has considerably reduced dependence on paperwork. In fact, administrative reforms are attracting E-Commerce solutions to speed up the process of giving rights, approvals, and licenses.

USEFUL LINKS:

https://diksha.gov.in/play/collection/do_31310347535117516811487?contentType=TextBook

https://diksha.gov.in/play/content/do_31307188996718592011496?contentType=ConceptMap

➤ SELF ASSESSMENT:

1. State difference between e- business and traditional business on the basis of formation.
2. OLX is an example of which of the following category of e- business:
(a) B2B (b) B2C (c) C2C (d) Intra B
3. A Mail sent by Purchase department to Production department is example of which of the following:
(a) B2B (b) B2C (c) C2C (d) Intra B
4. A company is running several garment stores in different parts of the country. Recently, its sales are declining. Actually, it is facing stiff competition from e-Commerce or online firms. The management of the company is worried over declining sales.

It has approached a consultant to suggest measures to increase sales. And the consultant has advised to launch an e-Commerce portal of the company.

Questions:

- (a) Do you agree with the advice of the consultant?
 - (b) If the company starts e-Commerce business, what benefits will it achieve?
5. A firm's electronic transactions and networks can be visualised as extending into all these directions except:
- (a) B2B (b) B2C (c) C2C (d) Intra-B
6. The term B2B commerce stands for:
- (a) Business to Buyer (b) Buyer to Buyer
- (c) Buyer to Business (d) Business to Business
7. B2B commerce helps in all these except:
- (a) Customised production (b) Improved distribution system
- (c) Reduce dependence on single supplier (d) Online customer surveys
8. Your father has an old scooter and you want to replace it with a new scooter. Your father is not ready to sell old scooter because he thinks he will not get good price for his old scooter and he cannot afford a new scooter. You found a buyer for your scooter at OLX who was ready to buy your scooter at a good price so you finally sold your old scooter. Which type of e-commerce did you use?
- (a) B2B (b) B2C (c) B2E (d) C2

-----END OF CHAPTER-----